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Take-Home Midterm: Research Proposal Topics in International Macroeconomics — Spring 2026

1. Research Question

Does Chinese greenfield Foreign Direct Investment (FDI) into Southeast Asian "connector countries" (e.g., Thailand, Indonesia, Vietnam) in the electric vehicle (EV) and battery sectors spike immediately following specific US tariff escalation events, specifically the 2018 Section 301 tariffs and the May 2024 100% EV tariff?

Why is it interesting or important?

- **Policy Relevance:** This research investigates "geopolitical arbitrage," where firms use Southeast Asia as a "backdoor" to sidestep US-China trade barriers . Understanding if these surges represent durable industrial integration or mere "screwdriver assembly" for circumvention is critical for trade enforcement and regional development [1] .
- **Theoretical Puzzle:** It challenges the **"friend-shoring" hypothesis**, which suggests capital should flow between geopolitically aligned partners[2,3]. Instead, evidence suggests Chinese firms are aggressively investing in countries aligned with the US, creating a "mutual entanglement" that complicates decoupling[4].
- **Empirical Regularity:** Recent data show a historic surge in Chinese EV exports and localized FDI in ASEAN, with China capturing 74% of Thailand's EV segment by 2024[5,6]. This study tests if these "opportunistic surges" are directly causal to specific Western policy shocks [7,8].

2. Literature Review

Recent research has documented how geopolitical distance and trade wars reshape global flows:

- **Aiyar, Malacrino, and Presbitero (2024):** Use a gravity model to show that geopolitical alignment significantly drives FDI, with the effect intensifying since the 2018 US-China trade war [9] .
- **Grover and Vézina (2025):** Find that while Western firms "friend-shore," Chinese companies defy this trend by increasing investment in countries geopolitically closer to the US [10].
- **Gopinath et al. (2024):** Formalize the concept of **"connector countries"** that substitutes for direct inter-bloc linkages, potentially mitigating global output losses from fragmentation [11].
- **Alfaro and Chor (2023):** Document the "Great Reallocation" of US imports from China to countries like Vietnam and Mexico, noting that US supply chains remain indirectly connected to China via these third parties[12].
- **Valdiglesias (2025):** Demonstrates through panel data that geographic proximity and strategic alignment jointly influence export performance during periods of trade conflict.

Identifying the gap: While existing work explores aggregate trade and FDI fragmentation, there is a lack of high-frequency **event studies** specifically isolating the **2024 100% EV tariff shock** and its impact on greenfield investments in the critical EV/battery sector. Most studies conclude in 2022 or 2023, missing the most recent phase of "involution-driven" Chinese capital export.

3. Our Contribution

This proposal adds a **sector-specific, event-driven dimension** to the fragmentation literature. Unlike prior work that uses aggregate FDI stocks, this study utilizes **project-level greenfield data** to capture the immediate response of firm-level capital to policy shocks. By isolating the EV and battery industries—sectors characterized by both high-tech intensity and strategic national security concerns—it tests whether the "friend-shoring" deterrent is weaker in industries where China holds a dominant "first-mover" supply chain advantage.

4. Methodology: Empirical Approach

What equation will you estimate?

We will estimate a **Poisson Pseudo-Maximum Likelihood (PPML)** gravity model, incorporating an event study framework to capture spikes around tariff announcements:

$$\mathbf{FDI_{ijt}} = \exp(\beta_1 \mathbf{TariffEvent_t} \times \mathbf{Connector_j} + \beta_2 \mathbf{IPD_{ijt-1}} + \gamma \mathbf{X_{ij}} + \alpha_{i,t} + \delta_{jt}) \epsilon_{ijt}$$

What is the dependent variable?

The dependent variable is the **count or value of new Chinese greenfield FDI projects** in the EV and battery sectors (ISIC-mapped)into country j at time t.

The explanatory variables?

- **TariffEvent:** Dummy variables for the 2018 Section 301 tariffs and the May 2024 100% EV tariff announcement.
- **Connector:** A dummy for "connector countries" (Thailand, Indonesia, Vietnam) based on their high "geoeconomic connectedness" index.
- **IPD:** Lagged **Ideal Point Distance**, measuring the geopolitical distance between China and the host country based on UN voting patterns.
- **Controls (X):** Standard gravity variables including geographic distance, common language, and free trade agreement (RCEP) membership.
- **Fixed Effects:** Origin-year (α_{it}) and destination-year (δ_{jt}) fixed effects to control for domestic price wars in China or local industrial policies like Thailand's EV 3.5.

Our Data Sources:

- **fDi Markets:** For project-level greenfield investment data (counts, volume, and sector).
- **Voten/Bailey et al. (2017):** For bilateral geopolitical distance (IPD) indices.
- **UN Comtrade/Global Trade Alert:** For detailed tariff event dates and product-level trade barriers.

- **World Bank/IMF:** For macroeconomic controls such as host country GDP and the Logistics Performance Index.

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